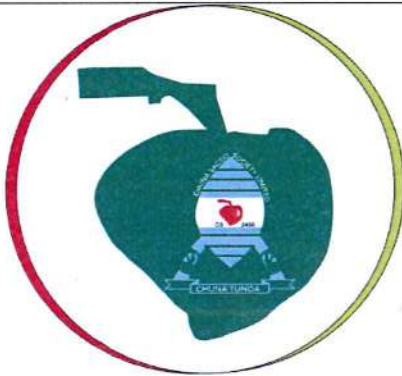




CHUNA DT SACCO LTD
"The University Sacco"

BYLAWS

OF

CHUNA DT SAVINGS AND CREDIT CO- OPERATIVE SOCIETY LTD

CHUNA DT SACCO SOCIETY LIMITED
P.O. BOX 30197-00100 NAIROBI

DECEMBER, 2018.

1st Revision September, 2019.

2nd Revision September, 2021.

3rd Revision October, 2022.

4th Revision May, 2024.

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SECTION 1 – INTERPRETATIONS, NAME AND ADDRESS

1.0 INTERPRETATIONS AND DEFINITIONS

1.1 In these by-laws, unless the context otherwise suggests words or phrases shall be interpreted in accordance with the Sacco Societies Act, 2008 and Regulations hereinafter referred to as the “Act” and “Regulations” respectively, the Co-operative Societies Act Cap 490 Laws of Kenya and the Rules made there under herein after referred to as the “Co-operative Societies Act” and “Rules” respectively.

1.2 In these by-laws where the masculine gender is referred to, it will be construed to include the feminine gender.

1.3 In these by-laws unless as otherwise expressly stated: -

- (i) **“Audit Committee”**- Committee of the Board established as per the Regulations
- (ii) **“Annual/Special Delegates Meeting”**: General meeting of the Society to be attended by delegates as the authorized individuals to attend.
- (iii) **“Authority”** shall mean the Sacco Societies Regulatory Authority (SASRA).
- (iv) **“A nominee”** means a person appointed by the member to inherit the shares, deposits and other interests in the society upon the death of that member.
- (v) **“Applicable Law”** shall mean any other relevant law other than the SACCO Societies Act 2008 Cap 490b and the Regulations, Co-operative Societies Act Cap 490, Rules, and these by-laws.
- (vi) **“Board of Directors”** shall refer to the persons elected in a duly convened Delegate meeting to govern the Business of the SACCO Society as per these by-laws hereinafter referred to as the “board”.
- (vii) **“Commissioner”** shall mean “the Commissioner for Co-operative Development as provided for in the Co-operative Societies Act.”
- (viii) **“Core Capital”** shall mean fully paid up members’ shares, capital issued, disclosed reserves, retained earnings, grants and donations all of which are not meant to be expended unless on liquidation of the SACCO Society.
- (ix) **“Institutional Capital”** means and comprises statutory reserves, entrance fees, appropriation accounts, donated equity, a permanent capital base and any other

reserves established by the Society's Board of Directors for which no claim has been placed upon it by members or other parties.

- (x) **"Dividend"** shall mean members share of the surplus of the SACCO Society which is divided amongst its members based on shareholding.
- (xi) **"Delegate"** shall mean a person or persons designated and/or elected to represent and act on behalf of society members from the respective electoral zones i.e. colleges/units, in annual delegate/society meetings and sharing decisions reached thereof.
- (xii) **"Deposit"** means a sum of money received or paid on terms under which it shall be repaid with or without interest or premium and either on demand or at a time or in circumstances agreed by or on behalf of the person making the payment and the person receiving it.
- (xiii) **"Dormant Account"** means savings or current account maintained by the SACCO society which is not operational, or has had no transactions by the depositor within the maximum period prescribed by the Authority.
- (xiv) **"Deposit Guarantee Fund"** means the Sacco Deposit Guarantee Fund established by Section 55 of the Act.
- (xv) **"Delegates Meeting"** shall be a meeting (either "Annual" or "Special") for all Delegates duly convened by the SACCO Society to conduct its business.
- (xvi) **"Electoral Zone(s)"** shall mean the delineated and or University of Nairobi recognized administrative units/campuses for purposes of conducting election of delegates/board or A demarcation/clustering of members based on criteria agreed upon as the basis of representation by a delegate and or a board member.
- (xvii) **"Member"** includes a person or a co-operative society joining in the application for the registration of the SACCO Society, and a person or co-operative society admitted to membership after registration in accordance with the by-laws.
- (xviii) **"SACCO Society"** means a savings and credit co-operative society registered under the Co-operative Societies Act and licensed under the Act.
- (xix) **"Share Capital"** shall mean members' equity in the form of issued and fully paid up shares of common stock
- (xx) **"Share"** means the amount represented by a member's portion in the equity of a society as co-owner.

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- (xxi) **"Tribunal"** shall mean the Co-operative Tribunal established under the Co-operative Societies Act Cap 490 to hear and determine disputes.
- (xxii) **"Officer"** in relation to the SACCO society, means a director or any other person, by whatever name or title he may be called or described, who carries out or is empowered to carry out functions related to the overall direction in Kenya of that deposit-taking SACCO society or takes part in the general management thereof in Kenya.
- (xxiii) **"Place of Business"** means the SACCO Society's head branch, branch, or outlet, including a mobile unit, marketing office, automated teller machine or agency of the SACCO Society and which is open to the public.
- (xxiv) Any questions concerning interpretation of these by-laws or any matters not provided for therein, errors and omissions shall be referred to the Authority or Commissioner as is applicable.

2.0 NAME AND AREA OF OPERATION

- 2.1 The society shall be called **CHUNA DT SAVINGS AND CREDIT CO-OPERATIVES SOCIETY LIMITED**, herein after referred to in these by laws as "The SACCO Society" and its area of operation shall **BE THE REPUBLIC OF KENYA** with a **CS/NO. 2466**.

3.0 REGISTERED OFFICE/ POSTAL ADDRESS

- 3.1 The registered office of the SACCO Society shall be at the **UNIVERSITY OF NAIROBI** and the postal address shall be: - **30197-00100, NAIROBI**.
- 3.2 Notice of any change of postal address shall be given to the Commissioner for Co-operative Development, herein after referred to as 'The Commissioner', the Sacco Societies Regulatory Authority (SASRA), herein after referred to as "the Authority" and to all members of the SACCO Society through their last known address as per records held at the SACCO Society within 30 days of such change.

4.0 OPENING AND RELOCATION OF BRANCHES

- 4.1 The SACCO Society shall seek a written approval from the Authority to open a new branch, relocate or close a place of business.

SECTION 2 – GOALS AND PRINCIPLES

5.0 OBJECTIVES

5.1 The objects for which the SACCO Society is established are to organize and promote the quality of life of the members by providing quality financial products and services.

5.2 In particular, the SACCO Society shall undertake:

- (i) To promote thrift among its members by affording them an opportunity for accumulating their savings and deposits and providing them with credit exclusively for provident and productive purposes, at fair and reasonable rate of interest; thereby enabling them to use and control their money for their mutual benefit.
- (ii) To ensure personal growth through the introduction of new products and services that will promote the economic base of the members.
- (iii) To ensure progress of members and SACCO Society through continuous education programs on savings and proper use of credit, reduction of poverty, human dignity and co-operation.
- (iv) To apply the co-operative principle of co-operation among co-operatives in order to promote members' interests. In furtherance to its objects, the society may affiliate to the relevant National Co-operative Union and the Apex society.

5.3 For the attainment of the above objects, the SACCO Society may do acts and things that are permissible under the Act and Regulations, Co-operative Societies Act and Rules and these By-laws and all such other things as are incidental or consequential to the economic enhancement of its members interests provided such act is approved by the members in a Delegate meeting.

6.0 CO-OPERATIVE PRINCIPLES AND VALUES

In order to achieve its objects the SACCO Society shall act in accordance with the following Co-operative principles and relevant values.

6.1 PRINCIPLES

- (i) **Voluntary and open membership:** The society shall always be guided by the principle of voluntary and open membership in its member recruitment drive without political, ethnic, religious, gender or social discrimination.

- (ii) **Democratic member control:** The society will be fully controlled by members who will have equal voting rights on the basis of one member one vote.
- (iii) **Economic participation by member:** Members shall contribute equitably to the capital of the society and share in the results of its operations.
- (iv) **Autonomy and independence:** The society shall operate on mutually acceptable terms with its stakeholders who will ensure its autonomy and independence.
- (v) **Education, training and information:** The society shall foster reciprocal, on-going education programs for members, leaders, staff and the community so that they can teach and learn from each other or from the appropriate resource persons in understanding and carrying out their respective roles.
- (vi) **Co-operation among co-operatives:** In order to better serve the interests of the members and the community, the society shall actively co-operate with other co-operatives locally, regionally, nationally and internationally.
- (vii) **Concern for community in General:** The society shall show concern to the community in which it exists and operates.

2.1 VALUES

The values shall include self-help, mutual responsibility, equality and equity. It shall practice honesty, openness and social responsibility in all its activities.

SECTION 3 – CAPITAL AND SHARES

7.0 CAPITAL

The capital of the society shall consist of; -

- (i) Fully paid-up members' shares as per bylaw 8 below, to be applied as provided for under The Act, article 59 (1);
- (ii) Institutional capital requirements as may be prescribed by the Authority;
- (iii) Provisioning for loan losses (bad debts) (The Act, article 40 (1) (2) (a), article 33, (3) (b)

- (iv) A reserve fund maintained as required by the SACCO Act and such other reserves as may be required by the Authority.

8.0 SHARES

8.1 Every member shall hold at least **415** shares of **Kshs 100 (Kshs 41,500)** each or as shall be fixed by the Delegates Meeting. However, no member shall hold more than one-fifth of the total shares of the SACCO Society.

9.0 LIMITATION ON HOLDING SHARE CAPITAL

9.1 No member shall hold more than one-fifth (1/5) of the issued and paid-up share capital of the Society.

10.0 TRANSFER OF SHARES

10.1 With the approval of the board, a member may at any time transfer shares to another member/nominee but not to any other person. Such transfers must be in writing and at nominal value.

10.2 All transfers of shares shall be registered with the SACCO Society and no transfer shall be valid unless so registered. A fee of **1% of the total value of the shares transferred** shall be payable by the transferee for each such transfer.

11.0 LIABILITY IN CASE OF LIQUIDATION

11.1 The liability to a member shall be limited to the nominal value of the shares held by him.

11.2 In the event of liquidation, where available funds are insufficient to pay the full nominal value of the shares held by members; the funds shall be distributed pro-rata among the shareholders according to the number of shares held by each.

11.3 In addition to (11.2) above members shall be compensated by the Deposit Guarantee Fund as provided in the Regulations.

SECTION 4- COMMON BOND AND MEMBERSHIP

12.0 MEMBERSHIP

12.1 Membership shall consist of:-

- (i) Original members who signed the application for registration.

- (ii) New members subsequently admitted in accordance with these by-laws.

13.0 QUALIFICATION FOR MEMBERSHIP

13.1 QUALIFICATION FOR MEMBERSHIP BY NATURAL PERSONS

A person who possesses the following qualifications shall be eligible for membership: -

- (i) Is within the field of membership consisting of the following common bond:
- Any **employee or former-employee** of the **University of Nairobi**
 - **Affiliated companies/institutions; University of Nairobi Enterprises and Services Limited(UNES), Kenya Universities Staff Union(KUSU), Universities Academic Staff Union(UASU), UoN Alumni and**
 - **Employees of CHUNA DT SACCO SOCIETY LTD.**
- (ii) A person connected by blood & marriage, to the members in Sub-Section 13.1(i) of these by laws.
- (iii) Salaried employee, business person(s) and any other interested individual/groups/institutions as shall be approved by the board from time to time.
- (iv) Has attained the age of 18 years.
- (v) Is of good character and sound mind.
- (vi) Pays the entrance fee and share capital as prescribed in these By-laws.

13.2 QUALIFICATIONS FOR MEMBERSHIP BY INSTITUTIONS

Subject to compliance with the provisions of the Co-operative Societies Act and these By-laws, an institution, whether corporate or unincorporated, may be eligible for membership of the SACCO Society, if the institution -

- (i) Is duly registered or incorporated under any applicable law relating to its registration or incorporation;
- (ii) Has resolution of its governing organ to join the SACCO Society including names of members, office bearers and individuals authorized to transact on behalf of the institution;

(iii) Has a written constitution, By-Laws, Memorandum and Articles of Association or any other constitutive instrument, as may be applicable to the institution; and

(iv) Pays the entrance fee and subscribes to the minimum share capital as may be prescribed for institutional members in these By-Laws or the General Meeting

13.3 Provided that no member shall belong to more than one SACCO Society serving similar purpose.

14.0 APPLICATION FOR MEMBERSHIP

14.1 Every applicant for membership shall complete an "application for membership" form. This form shall be drawn to show all the information required for the purpose of registration of a member, as well as comply with the international best practices on customer due diligence.

15.0 ADMISSION INTO MEMBERSHIP

15.1 An applicant shall be admitted to membership on application upon payment of Entrance fees of **Kshs. 500** and at least **415** shares of **Kshs. 100 (Kshs. 41,500)** as shall be fixed by the Delegate meeting from time to time. On being admitted the member shall furnish the society with two passport size photos and a certified copy of the National Identity Card.

15.2 Upon admission the member's name shall be entered in the membership register and a unique membership number issued.

15.3 Members shall be admitted by the board subject to Confirmation by the next Delegates meeting.

16.0 REFUSAL OF ADMISSION

16.1 The board may refuse admission to a person after assigning reasons for their decision. Such a person, if otherwise eligible for membership, shall have the right to appeal to the next Delegate meeting. Any such appeal must be supported by at least 2 delegates present. The decision of the Delegate meeting on the matter shall be final.

17.0 RIGHTS OF MEMBERS

17.1 Member of the SACCO Society shall have the right to:-

- (i) Elect or be elected into the organ of the Society unless otherwise prohibited by any other law or these By-laws;
- (ii) Attend and participate in decision making at all campus/constituency general meetings of the SACCO Society and vote; but can delegate this right and responsibility to a Delegate for the ADM.
- (iii) Use Society's services according to the policies and procedures approved by the Board;
- (iv) Submit projects or initiatives to the Board for consideration that focus on improvement of the financial services;
- (v) Access all legitimate information relating to the society including; internal regulations, registers, minutes of Members Meetings, annual accounts, inventories, and investigation reports at the registered office of the society **Subject to data protection act of 2019**, the Policy and Regulations for the time being in force. Receive, periodically and at least once a year, a statement of Accounts containing the individualized record of his/her credit and debit transactions. Any other request will at a fee prescribed by the Management.
- (vi) Other rights as prescribed by the Act and Rules.
- (vii) To withdraw their savings and deposits (less any liability or obligation on their account and no outstanding collaterals or guarantees on other member's loans), from membership at any time. Shares are considered part of the Sacco's "core capital" and cannot be withdrawn, unless the Sacco is liquidated.

18.0 OBLIGATION OF MEMBERS

18.1 A member of the SACCO Society shall have the obligation to:-

- (i) Observe and comply with all the SACCO Society's by-laws and decisions taken by the relevant organs of the SACCO Society;
- (ii) Buy and pay up for shares or make any other regular payments provided for in these by-laws.
- (iii) Meet the debts of the SACCO Society in case of insolvency in accordance with the provisions of the Co-operative Societies Act and these by-laws.
- (iii) To repay all outstanding loans according to the terms and conditions stated in the loan agreement and policy.

- (iv) To promptly make all required contributions.
- (v) To support issues put forth that improves the sustainability of the Society and promotes the good will of all members.
- (vi) To attend and actively participate in meetings of the Society.
- (vii) Show good co-operative spirit.
- (viii) Recruit qualified non-members who qualify and encourage them to join;

19.0 MEMBER'S PERSONAL STATEMENT

19.1 Every member shall receive regular statements at least once every six months, which shall contain particulars of membership, shares, deposits and loan transactions with the SACCO Society.

20.0 WITHDRAWAL FROM SACCO SOCIETY

20.1 A member may at any time withdraw from the SACCO Society by giving at least sixty (60) days written notice to the board.

20.2 Partial withdrawal of non-withdrawable deposits from the SACCO Society shall not be allowed under any circumstance.

20.3 No member will be allowed to rejoin the Sacco for more than three (3) times unless with special arrangement which must be approved by the board

20.4 A member who willfully withdraws from the society may be readmitted after a period of one year, or such period may be determined from time to time by the board.

20.5 Any member who resigns and wishes to rejoin shall pay readmission fee of kshs. 1,500.00

21.0 NOMINEE

21.1 Every member shall nominate in writing one or more persons as nominee(s).

21.2 The names of such nominee(s) shall be entered in the nominee register.

21.3 Provided that a member shall have the right to change his/her nominee(s) in writing.

22.0 ADMISSION OF NOMINEE

22.1 A nominee may be admitted to membership of the SACCO Society if qualified. The shares, deposits, interest and dividends due to the deceased member shall be transferred to the account of that nominee.

SECTION 5 – TERMINATION OF MEMBERSHIP

Any dispute arising out of these By-laws or concerning the business of the society which cannot be settled by the Board or Delegates Meeting shall be referred to the Co-operative Tribunal. Appeals against the decision of the Tribunal shall be to the High Court whose decision shall be final.

23.0 TERMINATION

23.1 Membership in the SACCO Society shall cease with effect from the date of:

- (i) Death
- (ii) Withdrawal
- (iii) Expulsion
- (iv) Being certified insane.
- (v) Transferring all shares to another member.
- (vi) Failure to remit regular savings and loan repayments for a continuous period of six months without valid reasons or leave of the SACCO Society.
- (vii) Ceasing to hold qualification for membership as specified in these by-laws.

24.0 SUSPENSION AND EXPULSION FROM MEMBERSHIP

24.1 The board may suspend a member, subject to the decision of the delegates meeting to expel, who: -

- (i) fails to fulfill his/her obligations to the SACCO Society whether stated in these by-laws, general internal regulations, a resolution of the Delegate

meeting or in contravention of any other legal document, provided such a member has been called upon to do so but has failed,

- (ii) Is a member of another SACCO Society serving similar purpose,
- (iii) Acts in any manner prejudicial to the interests of the SACCO Society.

24.2 Provided that, no member shall remain in suspension for a period of more than 12 months

25.0 PROCEDURE FOR SUSPENSION AND EXPULSION

25.1 Upon formal and written proof that a member has committed a violation punishable by expulsion, the board shall serve a thirty (30) days written notice to the member stating the reason(s) for the proposed expulsion and requiring him/her to file a defense.

25.2 Upon the expiry of the 30 days and taking into consideration the member's defense if any, the board shall initiate administrative inquiry and make a decision on its findings within 15 days. The Board may;-

- (a) Suspend the member pending expulsion by the Delegate meeting or
- (b) Impose any other punishment as may be provided in this by-law or as may be directed by the Delegate meeting from time to time.

25.3 A member who is suspended or expelled shall retain the right of appeal to the next Delegate Meeting, within thirty (30) days of receipt of the decision of the Board of Directors. A member of the SACCO Society who is dissatisfied by the decision of the Delegate Meeting, or is expelled from the SACCO Society shall have the right to appeal to the Tribunal.

26.0 PAYMENT ON CESSATION OF MEMBERSHIP

26.1 On cessation of membership, a person shall be paid the following less any outstanding obligations;-

- (i) The deposits (both withdrawable and non-withdrawable).
- (ii) Any dividends and interests due prior to the cessation date.
- (iii) Any other funds other than shares held by the SACCO Society on his/her behalf

- (iv) The member will be allowed to transfer his/her shares to an existing member.

27.0 PAYMENT OF NOMINEE

- 27.1 The SACCO Society after obtaining such documentary proof of the death of a member as it may consider necessary, shall pay to the nominee the value of the deceased member's deposits, interest and dividend after deducting monies owed to the SACCO Society, if any, within one hundred and eighty (180) days.
- 27.2 Loans outstanding with the deceased member will be offset through the relevant insurance policy, provided that the deceased member was not in default of the loan(s) and all other Sacco contributions prior to death.

SECTION 6- DELEGATE SYSTEM OF GOVERNANCE

28.0 ROLE OF DELEGATES

- 28.1 The delegates shall be an important pillar in the governance and promotion of CHUNA image across, within, and without the constituent colleges/electoral zones.
- 28.2 **Member Representation:** Offer effective representation of members through articulating member views, concerns, and resolutions at the Annual/Special Delegates Meetings (A/SDM) and in turn communicate A/SDM and board decisions to members.
- 28.3 **Promotion and protection of society image:** At all times promote and protect the Society image through steering clear of negative propaganda that would tarnish society's image and instead focus more on providing business facts and updates through the readily available and less bureaucratic avenues.
- 28.4 **Promote best practices:** Promote the strict adherence to the applicable laws, rules, and the CHUNA By-Laws by all members and especially those in their respective Electoral Zones/Campuses. Any issue of concern must be reported to the board or senior management for quick action.

28.5 Role models: Should act as role models by observing and honoring their obligations (loan repayments, share contribution, and prudent savings etc.) and commitment to society ideals.

28.6 Organize and Coordinate Society activities: Under the guidance and direction of the board the delegates shall organize and coordinate the functions/activities of the society in their respective Campuses/Electoral Zones.

28.7 Recruitment of members and marketing: Recruitment of new members is a collective responsibility to enhance CHUNA growth, a delegate shall market CHUNA, her products to strengthen capital base and profit, being a team player and contributing positively for quality/value addition and being the focal point between the members and CHUNA.

28.8 Electing Board members: Elect board members at the Annual/Special Delegates Meeting as guided by the By-Laws and Agenda of the meeting.

28.9 Enforcement: Ensuring that the Act, Rules, the By-laws, ADM resolutions and directives of the board are strictly observed in their electoral zone.

29.0 CHUNA MEMBERSHIP AND DELEGATE STRUCTURE

29.1 CHUNA DT SACCO Society membership demographics and the University of Nairobi recognized administrative units shall constitute the delegate structure.

29.2 For ease of conducting society elections and coordination, proximity of the administrative units of special interest groups to cater for other segments of the society.

29.3 The delegate structure shall be determined and approved by the board of directors of the society and informed by the recommendations of the members and traditional voting patterns/structures.

29.4 One Delegate shall represent at least forty (40) members or part thereof.

29.5 There shall be a minimum of sixty (60) Delegates and a maximum of hundred (100) Delegates.

29.6 Where possible members' representation at delegates level may be apportioned in the ratio of 1:2 among CHUNA members based on the two staff distinctions at the University, that is Academic/Teaching staff (one third) to Non-

Academic/Non-Teaching staff (two thirds) and members shall also be encouraged to consider the 2/3 gender rule as they elect their delegates.

29.7 Every campus/electoral zone shall have at least two (2) delegates, however, where it is not possible because CHUNA members in that particular campus are less than forty (40), that Campus' representation shall be merged with another campus/electoral zone.

29.8 To qualify for delegate representation, a campus/electoral zone should have at least forty (40) members and above.

29.9 Delegates allocation per campus/electoral zone shall be based on total number of CHUNA members in that Campus/electoral zone and on the principle that one delegate will represent 40 members.

29.10 An updated register of members will be presented at least a fifteen days before every Delegates' election to show actual membership in every electoral zone/unit and the updated register shall be the basis of allocation/apportionment of delegates.

29.11 In case of campuses/electoral zones outside Nairobi County and Special Interest Groups (SIG), they may be allocated at least one (1) delegate each and By-laws 29.4, 29.7, 29.8 & 29.9 may not apply.

29.12 Where a campus/electoral zone cannot raise enough delegates for one reason or the other, the Board together with the delegates from that respective electoral zone will work on modalities to fill the vacancies within three months.

30.0 ELIGIBILITY FOR ELECTION AS A DELEGATE

30.1 To be elected as a Delegate a member, as outlined in section 4, By law 13.1 i, ii & iii, must have BOSA Deposits of at least Kenya shillings three hundred thousand (**Kshs. 300,000.00**) and above. All contributed monthly and not by one-off boosting within six months prior to election

30.2 A minimum Share Capital of Kenya shillings sixty thousand (**Kshs. 60,000.00**)

30.3 A minimum of Secondary Education;

30.4 Must have been a member & must have an active FOSA account with a minimum balance of at least Kshs. 5000 (Five thousand) three (3) months prior

to the elections or must have his salary pay point at FOSA for the last six months prior to the elections

- 30.5** Must have been a member of CHUNA for at least 24 months consecutively without a break before nomination;
- 30.6** Has not been adversely named by the Commissioner of cooperatives or his/her representative in an inquiry report endorsed by an Annual or Special Delegate meeting for mismanagement or corrupt practices whilst still a member of the Board of a co-operative Society, or named in any other national inquiries where he/ she has been shown to be engaging in dishonest activities, or
- 30.7** Has not been adversely named by any national Authority/Regulator in an inspection report for mismanagement or corrupt practices while still a member of the board of the SACCO Society;
- 30.8** Has not been charged of any offence involving dishonesty, a crime involving fraud, perjury or breach of contract of a licensed financial institution;
- 30.9** Has no any uncleared debt owing to the SACCO at the end of its financial year other than in respect of a loan under the provision of any rules made under the Act and this bylaw
- 30.10** Is not a Board member of another existing SACCO Society licensed under the Act;
- 30.11** Does not hold any money belonging to the society other than a loan at the end of the financial year;
- 30.12** Is not undischarged bankrupt;
- 30.13** He/she not is under twenty-one years of age;
- 30.14** Is not of unsound mind;
- 30.15** Is not an official of or does not hold a political office at any level;
- 30.16** Has not been removed from public office on disciplinary action;
- 30.17** Does not lend money on his own account;
- 30.18** Must conform to the minimum qualification standards in accordance to the applicable law

30.19 Notwithstanding the provisions listed in 30.1 to 30.18 eligibility for election as a delegate, these provisions may be reviewed from time to time in accordance with the applicable laws, the Sacco elections policy and associated policies.

31.0 ELECTION OF DELEGATES

31.1 The board shall notify the delegates/members of the delegate vacancies arising in the respective campuses/electoral zones.

31.2 During elections,

- a) The returning officer shall preside over the elections of the duly nominated candidates for the vacant position(s).
- b) In cases where duly nominated candidate(s) are less than or equal to the declared vacancies, such candidates shall be deemed elected unopposed provided a notice of such election is circulated to members of the particular electoral zones for five days and no contestation/objection is raised.

31.3 The Election of Delegates shall be conducted, through secret ballot system, on the same day between 8 am and 6 pm for all the Campuses/electoral zones and only members from that particular Campus/electoral zone shall be eligible to vote and or vie for election except where By-law 31.2(b) applies..

31.4 The election for Delegates shall be done at least one (1) month before the ADM.

31.5 Elections of Delegates shall be done after every three years

31.6 No member shall be entitled to vote by proxy.

31.7 No member shall have more than one vote, irrespective of the number of shares held by him/her.

31.8 Where possible the members shall be encouraged to elect as delegates at least one expert from each of the following fields, but where the election of such experts is not attained, the campus general meeting may nominate such professionals from among the members in the electoral zone: - Finance/Accounting/Auditing; Human Resource/Records Management; Information Communications Technology; and the Legal profession.

31.9 Within fourteen (14) days of the elections, the Chief Executive Officer shall forward to the Commissioner and the Authority the names and addresses of all elected delegates.

31.10 The new delegates elected at the electoral zones shall not assume office unless they have satisfied the requirements of the Co-operative Societies Act, Rules and this by-law.

31.11 The Authority (SASRA) may suspend from duty any delegate charged in a court of law with an offence involving fraud or dishonesty pending the determination of the matter.

31.12 The majority of the Board Members may suspend a delegate and accordingly inform SASRA subject to ratification by the Delegates meeting for;

- (i) Failure to disclose vested interests.
- (ii) Any other good cause.

SECTION 7 – DELEGATES MEETING

32.0 ANNUAL AND SPECIAL DELEGATES MEETING (ADM/SDM)

32.1 The Supreme Authority of the SACCO Society shall be vested in the Annual/Special Delegates Meeting (ADM/SDM).

32.2 The Delegates Meeting will be composed of the delegates representing general members of CHUNA DT SACCO society from the various electoral zones/units.

32.3 An Annual Delegates Meeting shall be convened physically or virtually within four months after the end of the SACCO Society's financial year.

32.4 A Special Delegate Meeting of the SACCO Society may be held physically or virtually when convened by the: -

- (i) Board.
- (ii) Commissioner.
- (iii) Board within 15 days of receipt of a written request by at least 35 of delegates or 1/4 of the total delegates, whichever is less, and with at

least 3 delegates from **2/3** of the designated electoral zones/units signing the written request.

32.5 Provided the request is deposited by registered mail at the Society's address or delivered to the Chief Executive Officer at the Society's offices within normal working hours.

32.6 If the Board fails to convene a meeting within fifteen days of receiving notice under the Co-operative Societies Act, the delegates in 32.4(iii) above shall give notice to the other delegates of the Society, stating the object and reasons for the meeting and the fact that the board has failed to convene the meeting.

32.7 Any business not completed at the Annual Delegates Meeting, may be taken up at a subsequent Special Delegates Meeting of the SACCO Society.

33.0 CAMPUS/ELECTORAL ZONE ANNUAL/SPECIAL GENERAL MEETING

- (a) Campus/Electoral zone General Meeting shall take place annually, and shall consist of members of the campus/electoral zone.
- (b) The Board or two thirds of members of the electoral zone/unit shall have powers to convene a Campus/electoral zone General Meeting whether special or annual.
- (c) At least fifteen days written notice shall be given to the board to convene a Campus Annual General Meeting.
- (d) A Campus/electoral zone Annual General Meeting shall be presided by the Director(s) representing that electoral zone and in his/her/their absence one of the delegates to be nominated by the delegates/members present.
- (e) The Campus/electoral zone Director shall nominate one of the electoral zone's delegates to take minutes of the meeting or in their absence any member nominated by the director and or the members present.

34.0 NOTICE OF MEETINGS

34.1 The Delegates Meeting shall be convened by giving at least 15 days written notice to the members.

34.2 The Honorary Secretary shall take all usual steps to publish the notice of the meeting in public places, on the SACCO Society's notice board(s), website

and/ or in local newspapers or news- sheets, including the media or any other mode decided by the members.

34.3 All notices shall include a statement of the business to be dealt with.

35.0 QUORUM

35.1 Except when convened by the Commissioner, the presence of at least **35 or 25%** of total number of delegates, whichever is less, shall constitute a quorum for the conduct of business at the Delegates meeting. When a quorum is not attained the chairman shall adjourn the meeting and fix a date for another meeting within one month, which shall be advertised as prescribed in these by-laws. If a quorum is again not attained, the chairman shall declare the meeting open with those present one hour after the advertised time of the meeting.

36.0 DUTIES OF DELEGATES MEETING

36.1 The Delegates Meeting shall have the powers and duties prescribed in the Act, Regulations, the Co-operative Societies Act, Rules and these by-laws. It shall: -

- (a) Consider and confirm the minutes of the previous Delegates meeting.
- (b) Consider reports of Board, the Commissioner or his/her representative and the audited accounts on the SACCO Society's activities during the past financial year.
- (c) Consider and resolve on the manner in which any available surplus shall be distributed or invested, subject to the Act, Regulations, Co-operative Societies Act and Rules.
- (d) Elect or remove members of the board and the Supervisory Committee, subject to the Act, Regulations and these by-laws.
- (e) Fix the indemnity for the elected board and management staff.
- (f) Consider recommendations on expulsion of members and refusal of membership by the Board.
- (g) Fix the maximum liability which the SACCO Society may incur in loans and deposits from members and non-members.
- (h) Approve the estimates of income and expenditure for the financial year following the Delegates meeting.

- (i) Fix the honoraria and bonuses, if any, for officers or employees of the SACCO Society.
- (j) Decide on the management structure, including the establishment of branches to facilitate efficient and cost effective delivery of services to members.
- (k) Appoint bankers, auditors and advocates of the SACCO Society for the ensuing year.
- (l) Approve affiliation to National Co-operative Organizations for SACCO societies and the Apex society.
- (m) Transact any other business of the SACCO Society for which notice has been given to delegates in the manner prescribed in these by-laws.

37.0 FUNCTIONS OF THE CAMPUS/ELECTORAL ZONE/SPECIAL GENERAL MEETING

- a) Elect campus delegates, whose number shall be determined by the Board based on the number of members in the electoral zone.
- b) Confirm minutes of the previous meeting.
- c) Consider reports of the Board.
- d) Express views and make resolutions for consideration by the Board
- e) Make resolutions and forward them to Annual Delegates Meeting.

38.0 RECORDS OF BUSINESS

38.1 All business discussed or decided at the Delegate Meeting shall be recorded without erasures and corrections in a Minute Book, which within one week of the meeting, shall be signed by the Chairman of the meeting and at least one other Board who was present at the meeting, to indicate that in their opinion the minutes are a true and complete record of all matters discussed or decided at the meeting.

38.2 At the next meeting after approving any alterations or variations which shall be written below the above signatures and not as alterations to the original record, the meeting shall by resolution authorize the chairman to sign and date the final record.

39.0 CHAIRMAN AT MEETINGS

39.1 The chairman or in his absence, the vice chairman shall preside at every Delegates meeting. In their absence, any board member elected by a majority of members present shall preside failing which any person elected by a majority of those present shall preside.

40.0 ENFORCEMENT OF DECISIONS

40.1 Any decisions taken by the Delegates Meeting shall be binding on all delegates/members present, absent and objecting.

40.2 Any decisions taken by the Board Meeting shall be binding on all directors present, absent and objecting.

41.0 MINUTES

41.1 All business discussed at the Delegate Meeting shall be recorded in a minute book which, within one month of the meeting, shall be signed by the Chairman of the meeting and at least one other board member who was present at the meeting to verify that in their opinion, the minutes are true and complete record of all important matters which were discussed or decided at the meeting.

41.2 At the next Delegate Meeting, the minutes shall be considered and confirmed subject to any amendments or variations approved by the members.

SECTION 8 – BOARD OF DIRECTORS

42.0 THE BOARD

42.1 The board shall be the governing body of the SACCO Society elected from the delegates and shall consist of nine(9) members pursuant to the provisions of the Co-operative Societies Act, these By-Laws and any other written law..

42.2 The board shall include the Chairman, Vice chairman, Treasurer and Honorary Secretary all of whom shall be elected by the board from amongst the members of the board.

42.3 To avoid one campus/electoral zone dominating in the board and so as to promote equity and inclusivity, the executive positions (Chairman, Vice-chairman, Treasurer, and Secretary) shall not at any given instance be held by directors from one electoral zone.

42.4 Members of the board shall hold office for a period of three years provided that one-third of the board members shall retire every year but will be eligible for re-election.

42.5 Where the membership of the board falls below five the board shall co-opt qualified delegates (s) into the board until the next Delegates meeting.

43.0 ELIGIBILITY FOR MEMBERSHIP TO THE BOARD

43.1 No person shall be eligible as a member of Board if he/she; -

(a) Does not meet eligibility requirements for elections as a Delegate broadly outlined under Section 6 subsection 30 (**Eligibility for Elections as a Delegate**).

(b) He/she does not have minimum non-withdrawable deposits of six hundred thousand shillings (**Kshs 600,000.00**) and above, all contributed monthly and not by one-off boosting within six months prior to election;

(c) A minimum Share Capital of Kenya shillings One hundred and twenty thousand shillings (**Kshs. 120,000.00**)

(d) The new Director(s) elected at the ADM shall not assume office unless they have satisfied the requirements of the Co-operative Societies Act, Rules and these by-laws as to the indemnity and ethics.

(e) Notwithstanding the provisions listed in 43.1 (a) to 43.1 (d) eligibility for election as a Director, these provisions may be reviewed from time to time in accordance with the applicable laws election policy and associated policies.

44.0 ELECTION OF THE BOARD/SUPERVISORY COMMITTEE

44.1 The board shall notify the delegates/members of the vacancies arising in both the board and the Supervisory Committee.

44.2 During elections, the Returning officer shall present duly nominated candidates for the vacant positions.

44.3 The election of directors shall be carried out during the delegates meeting, through the secret ballot. The delegates shall by a simple majority vote, elect directors from among themselves to represent the designated electoral zones.

44.4 Notwithstanding the one third rotation rule, members of the board including supervisory committee shall hold office for a period of three years, provided

that one third of the board members shall retire every year, but shall be eligible for re-election.

44.5 No delegate shall be entitled to vote by proxy.

44.6 No delegate shall have more than one vote, irrespective of the number of shares held by him/her.

44.7 Where possible the delegates shall be encouraged to elect to the Board/Supervisory committee at least one expert from each of the following fields; but where the election of such experts to the board is not attained, the board may co-opt such expertise in the committees of the board or as consultants, on an ad hoc and need basis: - Finance/Accounting/Auditing; Human Resource/Records Management; Information Communications Technology; and the Legal profession.

44.8 Within fourteen (14) days of the elections, the Chief Executive Officer shall forward to the Commissioner and the Authority the names and addresses of all persons elected.

44.9 A new board or committee member elected at the Delegates Meeting shall not assume office unless they have been cleared by the Authority and satisfied the requirements of the Co-operative Societies Act, Rules and these by-laws as to the indemnity and ethics.

45.0 BOARD MEETINGS

45.1 The board shall meet not more than twelve (12) times in a financial year and not more than two months shall lapse between the date of one meeting and the date of the next meeting. At least 5 members shall form a quorum for disposal of business.

45.2 If a member of the board fails to attend three consecutive meetings without being excused thereon, or otherwise fails to perform his/her duties, the position shall be declared vacant and may be filled as provided for in these by-laws.

46.0 RECORDS OF BUSINESS OF THE BOARD

46.1 All business discussed or decided at the Board Meeting shall be recorded without erasures and corrections in a Minute Book, which within one week of the meeting, shall be signed by the Chairman of the meeting and at least one other board member who was present at the meeting, to indicate that in their opinion

the minutes are a true and complete record of all matters discussed or decided at the meeting.

- 46.2** At the next meeting, after approving any alterations or variations, which shall be written below the above signatures and not as alterations to the original record, the meeting shall, by resolution, authorize its Chairman to sign and date the final record.

47.0 DUTIES AND POWERS OF THE BOARD

- 47.1** The board of the SACCO Society shall subject to any directions from the Delegate meeting generally direct the affairs of the SACCO Society. Its procedures, powers and duties shall be as prescribed by the Act, Regulations, Co-operative Societies Act and Rules and these by-laws. In particular, it shall:

- a) Observe in all its transactions the Sacco Societies Act and the Regulations, Co-operative Societies Act and the Rules, these by-laws and prudent business practices.
- b) Establish and approve appropriate policies including human resource management, savings, liquidity, investment, dividend, risk management, membership administration, cash handling and information management and preservation.
- c) Ensure that the management maintains proper and accurate records that reflect the true and fair position of the SACCO Society's financial condition.
- d) Prepare and develop business plans and annual budgets for presentation at the Delegate meeting;
- e) Formulate the Electoral Policy to guide in the nomination and election process.
- f) Appoint such number of board committees as maybe necessary to effectively discharge its functions;
- g) Approve interest rates on loans, the maximum maturities and terms of payment or amortization of loans from time to time and the maximum amounts that may be loaned with or without security to any member as recommended by the SACCO Society's management;
- h) Cause the audited accounts to be displayed in a conspicuous place at its registered office and branches at least two weeks before presentation of accounts to its members at the Delegate meeting;

- i) Lay before the Delegate meeting audited accounts, together with proposals for the disposal of net surplus, if any;
- j) Recommend to the Delegate meeting the dividend rate to be paid on shares, if any, and interest to be paid on non-withdrawable deposits;
- k) Fill through co-option, vacancies occurring in the board between Delegate meetings;
- l) Authorize the conveyance of properties;
- m) Authorize borrowing of the SACCO Society in accordance with the law.
- n) Approve and review lending policies of the SACCO Society to ensure compliance with the Law.
- o) Approve or ratify all loans to directors and employees of the SACCO Society;
- p) Approve interest rates on loans to members as recommended by finance committee,
- q) Designate a depository or depositories for the funds of the SACCO Society;
- r) Prepare and approve a code of conduct in the form set out in the third schedule of the Regulations;
- s) Employ and fix the remuneration of the employees including the appointment of chief executive officer in accordance with the approved human resource policy;
- t) Report within 15 days the appointment, resignation or removal of the chief executive to the Authority.
- u) Impose fines as provided for under these by-laws;
- v) Ensure that the SACCO Society pays its statutory levies to the Authority as and when they fall due;
- w) Ensure adequate provisions for known and probable losses and recommend to the Delegate meeting the write-off of bad debts.
- x) Perform or authorize any actions consistent with the Act, the Regulations and these by-laws, unless specifically reserved for the Delegate meeting;

- y) To provide adequate budget for education and training of members, and the capacity development of the board and staff.
- z) Receive and consider reports from the established Board committees.

48.0 LEGAL STANDARD OF CARE

48.1 In the conduct of the affairs of the SACCO Society, the members of the board shall exercise the prudence and diligence of ordinary men of business and shall be held jointly and severally liable for any losses sustained through any of their acts, or failure to act, which are contrary to the Act, the Regulations, any other applicable law these By-laws or the directions of the Delegates meeting.

49.0 DELEGATION OF DUTIES TO EMPLOYEES

49.1 The board may delegate to the chief executive officer of the SACCO Society such duties as it deems fit.

49.2 Nothing in (49.1) above shall absolve the board from its responsibility of running the affairs of the SACCO Society in a proper and businesslike manner.

50.0 INDEMNITY

50.1 All Board Members shall each provide an indemnity of an amount approved by the Delegate meeting. A duly completed Form V in the schedule to the Rules shall be lodged with the Commissioner within 14 days upon election to the board.

51.0 DECLARATION OF WEALTH

51.1 Every board member shall within 30 days of being elected declare wealth to the Commissioner in the prescribed manner.

52.0 SUSPENSION OF A BOARD MEMBER

52.1 The Authority may suspend from duty any Board Member charged in a court of law with an offence involving fraud or dishonesty pending the determination of the matter.

52.2 The majority of the Board Members may suspend a Board Member and accordingly inform the Authority subject to ratification by the Delegate meeting for;

- (i) Failure to disclose vested interests.
- (ii) Any other good cause.

53.0 REMOVAL OF A BOARD MEMBER FROM OFFICE

53.1 A member of the board shall cease to hold office if he/she:

- (i) Ceases to hold qualifications of a Board of Director as specified in the Act, Regulations and these by-laws;
- (ii) Is removed by the Authority under the provisions of the Act and Regulations;
- (iii) Is removed by the Commissioner under the provisions of Co-operative Societies Act and the Rules.

54.0 BOARD CHAIRMAN AND VICE CHAIRMAN

54.1 The board Chairman shall:

- (i) Preside at Delegate meetings, board meetings and joint meetings with the Supervisory Committee.
- (ii) Perform such other duties as may be directed by the board, not inconsistent with provisions of the Act, the Regulations, applicable laws and these by-laws.

54.2 The Vice-Chairperson shall perform the duties of the Chairman during his/her absence and such other duties as the board may direct.

55.0 TREASURER

55.1 The duties of the Treasurer shall include: -

- a) Generally, to manage or cause to be managed the financial affairs of the Society in a competent manner.

- b) To ensure, maintain or cause to maintain full and complete records of all monies received and disbursed by the society and of all assets and liabilities of the Society.
- c) To ensure the safe keeping of the society's money and security of all accountable documents and books of account.
- d) To ensure that all payments and expenditures are fully authorized and enforce all Rules regarding good financial Management and practices as ordered by the Board.
- e) To ensure compliance with all directives of the Board and the commissioner/Authority.
- f) Present to the Board each month an up-to-date listing of overdue borrowers;
- g) Prepare or cause to be prepared and forward to the Authority such financial reports as required by the Act and Rules.
- h) To sign on behalf of the society all documents, contracts and cheques of the Society.
- i) Perform such other duties as may be directed by the board, not inconsistent with provisions of the Act, the Regulations, applicable laws and these by-laws.

56.0 HONORARY SECRETARY

56.1 The duties of the Honorary Secretary are to:

- (i) Cause minutes of the Delegate meetings, board meetings, and joint meetings with the Supervisory Committee to be recorded.
- (ii) Ensure that notices of the meetings are prepared and sent out.
- (iii) Ensure that the SACCO Society's correspondence is promptly and correctly attended to.
- (iv) Perform such other duties as may be directed by the board, not inconsistent with provisions of the Act, the Regulations, applicable laws and these by-laws.

SECTION 9 –SUBCOMMITTEES OF THE BOARD AND THEIR FUNCTIONS

57.0 BOARD COMMITTEES

- (i) Board Subcommittees shall consist of persons drawn from the board.
- (ii) The board may delegate to the Subcommittee(s) some of its duties under these by-laws as it deems fit.
- (iii) These Subcommittees shall convene as directed by the board.
- (iv) The committees: -
 - (a) Shall keep minutes of their work at all times.
 - (b) May delegate to the management any of their functions but shall ultimately bare responsibility.

58.0 FINANCE AND ADMINISTRATION SUBCOMMITTEE

58.1 The finance and Administration Subcommittee shall consist of three members from the board including the treasurer who shall serve as its Chairman. Its duties shall be to:

- (i) Review and make recommendations to the board on the financial plans of the SACCO Society ensuring its adequacy and soundness in providing for the SACCO Society current operations and long term stability.
- (ii) Review, discuss and make recommendations to the board concerning significant financial planning, management and reporting issues of the SACCO Society.
- (iii) Review periodic financial statements of the SACCO Society before submission to the board.
- (iv) Consider and advice the board on investments and borrowings.
- (v) Make recommendations to the board on capital expenditure projects.
- (vi) Ensure all expenditure of the SACCO Society are within the approved budgets
- (vii) Monitor the management's adherence to the procurement plans approved by the board
- (viii) Review and make recommendation on finance related policies including investments, capital adequacy and financial performance monitoring.

- (ix) Ensure the SACCO Society has liquidity management policies as prescribed in the Regulations.
- (x) Review loan interest rates and other levies proposed by the management and make recommendations to the board for approval.
- (xi) Review and make recommendations on appropriate Human Resource Policies.
- (xii) Review the organizational structure of the SACCO Society and ensure it's manned by staff with relevant skills and experience.
- (xiii) Ensure that periodic reviews of staff performance are conducted.
- (xiv) Examine and recommend Human Resource expenditure for approval by the board.
- (xv) Ensure establishment of management succession plan in the SACCO Society.
- (xvi) Ensure the management adheres to the approved human resource and related policies.

59.0 EDUCATION SUBCOMMITTEE

59.1 The Education Subcommittee shall consist of three members appointed from the board. Its duties among others shall be to: -

- (i) Review and recommend Organize education programs for members, committee members, staff and the general public. education programs for members, board members, and the general public for approval by the board.
- (ii) Monitor implementation of educational programs formulated to ensure that the members and the board are well trained and prepared for the tasks they are entrusted with.

60.0 AUDIT SUBCOMMITTEE

60.1 The Audit Subcommittee shall consist of not more than three members appointed from the board, one of whom shall be conversant with financial and accounting matters. The chairman of the board shall not be a member of the Audit committee.

60.2 The primary responsibility of the Audit Subcommittee shall be as prescribed in the Regulations which include:-

- (i) Ensuring establishment and review of the internal control system.
- (ii) Review performance and findings of the internal auditor and recommend remedial actions regularly and at least once in every three months;
- (iii) Recommending three names of external auditors and the remuneration to the board;
- (iv) Reviewing coordination between internal and external audit functions as well as monitor external auditors independence and objectivity;
- (v) Report to the board on their findings and recommendations;

61.0 CREDIT SUBCOMMITTEE

61.1 The Credit Subcommittee shall consist of three members of the Board whose chairman shall be the board vice chairman, its duties among others shall be to:

- (i) Ensure establishment and review of appropriate credit policy consistent with the relevant provisions of the Regulations and these by laws.
- (ii) Ensure that the problem loan accounts are adequately identified and classified as prescribed in the Regulations.
- (iii) Ensure adequate provisions for potential loss is maintained.
- (iv) Review periodic credit and loan portfolio reports of the SACCO Society before submission to the board.

SECTION 10- SUPERVISORY COMMITTEE

62.0 SUPERVISORY COMMITTEE

62.1 The SACCO Society shall have a supervisory committee consisting of three members each elected at the Delegates meeting for a period of three years and one member of the supervisory committee shall retire annually. No person who has been a member of the board within two (2) years preceding the date of the anticipated election shall be eligible for membership of the supervisory committee.

62.2 The committee shall: -

- (i) Have qualifications similar to those of members of the Board.
- (ii) Be required to have at least some knowledge of accounts.
- (iii) Be removed by a resolution of the Delegate meeting.

62.3 The supervisory committee shall hold quarterly meetings save for joint meetings between its members and those of the Board.

63.0 DUTIES OF THE SUPERVISORY COMMITTEE

63.1 The duties of the supervisory committee shall include:

- (i) Counterchecking, the effectiveness of the society's internal control systems through:-
 - a) Verification of all transactions of the SACCO Society.
 - b) Writing periodic report to be tabled at board meetings
 - c) Submission of its reports to the commissioner
 - d) Presenting its reports to Delegate meeting.
- (ii) The supervisory committee shall not perform the duties or exercise any of the powers of the board.
- (iii) The supervisory committee shall be held liable for any loss incurred due to their negligence in performing their duties.
- (iv) The Supervisory Committee shall serve as the appeal committee to hear appeals from suspended members

SECTION 11 – DUTIES AND RESPONSIBILITIES OF OPERATIONAL MANAGEMENT

64.0 THE CHIEF EXECUTIVE OFFICER

- 64.1** The chief executive officer shall be appointed by the board and shall be responsible for the day to day operations of the SACCO Society and in particular ensure;

- (i) The implementation of and adherence to the policies, procedures and standards;
- (ii) Systems that have been established to facilitate efficient operations and communication are followed
- (iii) The planning process that has been developed to facilitate achievement of targets and objective is adhered to.
- (iv) All staff matters, particularly human resource development and training are attended to.
- (v) Adherence to the established code of conduct;
- (vi) Compliance with the Act, Regulations, Co-operative Societies Act, Rules these by laws and any other applicable laws.

64.2 The Chief Executive Officer shall ensure that the board is frequently and adequately appraised on the operations of the SACCO Society through presentation of relevant reports which shall cover, but not limited to the following:-

- (i) Financial statements (monthly, quarterly and annual);
- (ii) Showing current compared with past period actual performance, the budget compared with the actual and with explanations for any variances;
- (iii) Capital structure and adequacy;
- (iv) Delinquent loan list, and in particular growth in loans, loan losses, recoveries and provisioning;
- (v) Statement of comprehensive income (monthly, quarterly and annual) comparison with budgeted against actual;
- (vi) Sources and application of savings and deposits;
- (vii) All insider lending and non-performing insider loans if any.
- (viii) Violation of the Act, these regulations and any other applicable law, and remedial actions taken to comply;
- (ix) Large risk exposures;

- (x) Investment portfolio;

64.3 The chief executive officer shall;

- i) Attend all board and Delegate meetings and Delegate meetings as an ex-officio member.
- ii) Be a signatory to SACCO Society cheques, contracts and other documents as may be necessary.
- iii) Perform such other duties as may be assigned by the board.

SECTION 12- FUNDS OF THE SACCO SOCIETY

65.0 FUNDS

The funds of the Society shall consist of:

65.1 Core Capital

- (i) Paid up members Shares.
- (ii) Retained Earnings.
- (iii) Disclosed Reserves.
- (iv) Grants and Donations

65.2 Income

- (i) Interest, fees and charges, penalties, and commissions.
- (ii) Entrance fee of **Kshs 500.00**
- (iii) Any donations, grants or gifts from other bodies, organizations or individuals.
- (iv) Funds obtained from other lawful miscellaneous sources.

65.3 Liabilities,

(i) The liabilities include deposits from members and borrowings from other sources as may be prescribed by the Authority.

(ii) Funds obtained from lawful miscellaneous sources.

66.0 CAPITAL ADEQUACY

66.1 The SACCO Society shall at all times maintain capital adequacy requirements as prescribed in the Act and Regulations.

67.0 APPLICATION OF FUNDS

67.1 The funds of the SACCO Society shall only be applied for the promotion of the stated objects of the SACCO Society as set forth in these by laws, and shall be invested as prescribed in the Act and Regulation:

67.2 Investments under 23.3 above shall not in the aggregate, exceed such proportion of total assets, core capital and deposits of the SACCO Society as prescribed in the Regulations.

68.0 POWER TO BORROW

68.1 Loans may be obtained from non-members subject to the maximum amount and terms approved by the Delegate meeting provided the total external borrowing by the SACCO Society does not exceed the limit prescribed in the Regulations.

68.2 For the securing of any loans accepted by the SACCO Society under 27(1) the SACCO Society may grant a charge over its assets. The authority to grant a charge shall be reserved to the Delegate meeting.

68.3 The maximum liability fixed shall be subject to the approval of the Commissioner who may at any time reduce it or impose such condition as he may deem necessary.

68.4 The rate of interest on loans shall not exceed the current market rate.

69.0 RECEIPTING OF MONEY

69.1 Money received on account of shares, deposits, Loans, interests, fees or fines shall be recorded and evidenced as provided in the approved policies and procedures manuals.

70.0 PAYMENT AND DISBURSEMENT

70.1 Payments made by the SACCO Society shall be recorded and evidenced as provided for in the approved policy and procedure manual.

71.0 EXPENDITURE

71.1 No expenditure shall be authorized by the board and/or management unless it is provided for in the estimates formally approved by the Delegate Meeting.

72.0 BOOKS OF ACCOUNTS AND RECORDS

72.1 The SACCO Society shall keep up to date and in a proper businesslike manner, electronic or otherwise, such books of accounts and records as stipulated in Co-operative Societies Act and Rules, and in particular: -

- a) A register of members showing in respect of each member: -
 - (i) Name, age, date of application for membership, address and occupation;
 - (ii) Date of admission to membership;
 - (iii) Date of cassation of membership,
 - (iv) Name and particulars of nominees,
 - (v) Any other information as may be required by the SACCO Society from time to time, and
 - (vi) Number and value of shares held.
- b) Minute books giving details of proceedings of board, Board committees, joint board and Supervisory Committee, Supervisory Committee meetings and all other committee meetings held in accordance with these by-laws.
- c) Minute book giving details of proceedings at the Delegates meetings.
- d) A cashbook showing the details of all monies received or paid out by the SACCO Society.

- e) A general ledger containing such accounts as is necessary to accurately reflect the business of the SACCO Society.
- f) A personal ledger for each member showing his/her transactions with the SACCO Society.
- g) A register of assets and property.
- h) A register of loans to members showing in respect of each loan; the loan number, name of the borrower, the amount borrowed, the purpose of the loan, security, the due date of repayments and the date repayments were completed.
- i) Such other books and records as the board or the Authority may decide or prescribe.

72.2 The accounts and the financial records of the SACCO Society shall be denominated in Kenya shillings and shall comply with international financial reporting standards and any reporting requirements prescribed by the Authority.

73.0 DISTRIBUTION OF SURPLUS FUNDS

73.1 Subject to the Act, Regulations and approval by the Delegate meeting, the net surplus resulting from operations of the SACCO Society during any financial year may be disposed of as follows:

- a) Credited to the Reserve Fund.
- b) Approved by the Delegate Meeting for:
 - (i) Paying dividends on shares.
 - (ii) Being forwarded to Education Fund or any other fund or funds of the SACCO Society including the appropriations.
 - (iii) Paying honorarium to Board members and bonus to staff.
 - (iv) In any other way recommended by the board and approved by the Delegate Meeting.

SECTION 13- GENERAL PROVISIONS AND/OR MISCELLANEOUS ITEMS

74.0 POLICIES AND PROCEDURES

74.1 The board shall make and approve such policies and procedures as prescribed in the Regulations and as they deem necessary for the conduct of the SACCO Society's business. Any such policies and procedures shall be recorded in the minute book.

75.0 CODE OF CONDUCT

75.1 The officers of the SACCO Society shall comply with governance rules as prescribed by the ethics commission for cooperatives.

75.2 The SACCO Society shall formulate a code of conduct in accordance with third schedule of the regulations which shall be approved by the Authority.

76.0 COMMON SEAL

76.1 The SACCO Society shall adopt and use a common seal. The seal shall have an imprint bearing the words "seal of **CHUNA DT SAVINGS AND CREDIT CO-OPERATIVES SOCIETY LIMITED**" which shall be different from the ordinary name-stamp of the SACCO Society.

(i) The seal shall be kept securely under lock and key by the chief executive officer and be used only in the presence of the officers authorized to sign documents on behalf of the SACCO Society.

(ii) Where the common seal is used in any document it shall be authenticated by the signature of the board chairman and the chief executive officer or any other officer authorized by the board of the SACCO Society.

77.0 FINANCIAL YEAR

77.1 The financial year of the SACCO Society shall be from 1st January to 31st December

78.0 FINES

78.1 For any breach of these by-laws or lawful instructions issued by the Board and Delegate meeting, or failure to honor his obligations on time, the member may be fined an amount not exceeding **Kshs.20, 000**.

79.0 DISPUTES

79.1 If any dispute concerning the business of the SACCO Society arises: -

- (i) Among members, past members and persons claiming through members, past members and deceased members; or
- (ii) Between members, past members or deceased members, and the SACCO Society, its committee or any officer of the SACCO Society; or
- (iii) Between the SACCO Society and any other co-operative society;
- (iv) Between the SACCO Society and the Authority;

which cannot be determined by the board (or Delegate Meeting), then such shall be referred to the Co-operative Tribunal established under the Co-operative Societies Act.

79.2 Appeals emanating from the Co-operative Tribunal shall be taken to the High Court in accordance with the provisions of the Co-operative Societies Act. A dispute between the SACCO Society and its members or other persons may be settled amicably through Alternative Dispute Resolution mechanisms; and at the instance of either party to the dispute; such a dispute may be referred to the Authority for alternative dispute resolutions.

80.0 INSPECTION OF DOCUMENT

80.1 All books of accounts and other records shall at all times be available for inspection by the Commissioner, the Authority, supervisory committee and the members.

80.2 The by-laws of the SACCO Society and the registration certificate shall at all times be available for inspection by the Authority and the Commissioner.

80.3 A list of members (excluding details of nominees and shareholdings, deposits and loans) shall be available for inspection by any member and any other stakeholder upon payment of a prescribed fee subject to the provisions of the Data protection act of 2019.

81.0 MISCELLANEOUS

81.1 No board member or Supervisory Committee member shall receive from the SACCO Society any payment apart from sitting allowance, and

travelling and subsistence allowance, except an honorarium from the net surplus as allowed in these by-laws.

81.2 The board and supervisory committee members, and employees of the SACCO Society shall hold in the strictest confidence all transactions of the SACCO Society with its members.

81.3 No member of the board or supervisory committee shall in any manner participate in the deliberations and determination of any question affecting his/her financial interest. In the event of any disqualification, the remaining qualified board or committee members present at the meeting, if constituting a quorum with the disqualified person may exercise, with respect to the matter, all powers of the board or committee.

81.4 A copy of these by-laws shall be furnished to every member who joins the SACCO Society or on request upon payment of a fee not exceeding its actual cost to the SACCO Society.

82.0 DISSOLUTION

82.1 The SACCO Society shall be dissolved in accordance with the procedures set forth in the Co-operative Societies Act, Rules and the Regulations.

83.0 AMENMENT OF BY-LAWS

83.1 These by-laws shall be amended in accordance with the Cooperative Societies Act and the Rules, the Act and Regulations but no amendment shall become effective until it is approved and registered by the Commissioner.

84.0 ACCEPTANCE

84.1 We the undersigned Board Members of **CHUNA DT SAVINGS AND CREDIT CO-OPERATIVES SOCIETY LIMITED** named herein do hereby accept these by laws for and on behalf of the SACCO Society, on this day of 2018

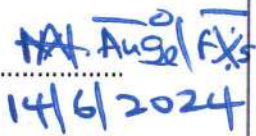
~~17/1~~ 14/6/24

TITLE	NAME	ID. NO.	SIGNATURE
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CHAIRMAN	KEFAH JUMA	21949381	
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VICE CHAIRMAN	MARILYN K. NABAKWE	13690661	
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HON. SECRETARY	MONICA KIRAGU	21873221	
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TREASURER	MARK F.S. OTUNDO	10931486	 14/6/2024
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OFFICIAL CERTIFICATION

I CERTIFY that the foregoing by-laws of the Chuna DT Savings Savings and Credit Co-operative Society Limited have been approved and duly registered.

Given under my hand at Nairobi this 8th Day of November 2024

DAVID K. OBONYO

COMMISSIONER FOR COOPERATIVES DEVELOPMENT

